

**Time:** 5 minutes**Outcome:** Interpret movements along the short-run inflation-unemployment tradeoff.**Difficulty:** ●●○ Intermediate

Short-Run Phillips Curve



THE CORE IDEA

The short-run Phillips curve (SRPC) shows an inverse relationship between inflation and unemployment while expected inflation and supply conditions are fixed. A demand expansion moves the economy up and left along the curve; weaker demand moves it down and right.



HOW TO RECOGNIZE IT

- Identify inflation on the vertical axis and unemployment on the horizontal axis.
- With expectations and supply conditions fixed, a demand change moves along one SRPC.
- Changed inflation expectations or supply conditions shift the curve.

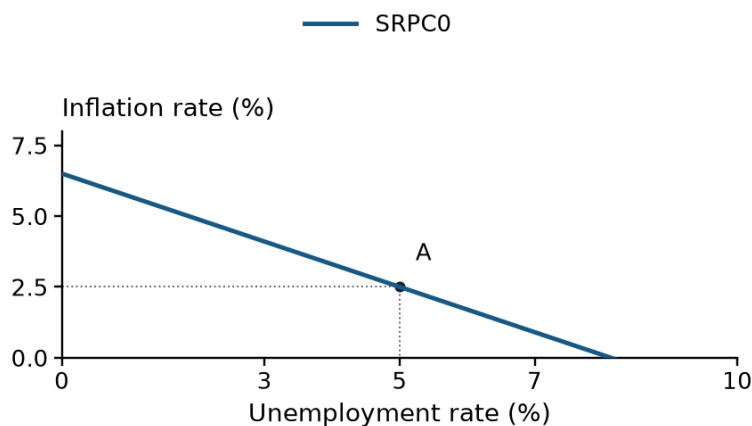


WATCH OUT

Lower unemployment and higher inflation describe movement along one SRPC only when expectations and supply conditions stay fixed. A shift changes inflation at a given unemployment rate.



WORKED EXAMPLE: MOVEMENT ALONG THE SRPC



Point A has 5% unemployment and 2.5% inflation. With expected inflation fixed, stronger aggregate demand moves the economy up and left along this same SRPC: unemployment falls while inflation rises. Weaker demand moves it down and right. A change in expectations would instead shift the curve.



CHECK YOURSELF

On a Phillips graph, moving upward and left along one SRPC means what?

**READY?**

Return to the game and master this concept.